TU/Comm.

TEZPUR UNIVERSITY

End Term Examination, Spring 2022

IC361: Accounting & Financial Management

Full Marks: 60 marks *Time Allotted: 3 Hours*

The figures in the right-hand margin indicate marks for the individual questions.

1. **Answer any 5 from the following:** [2×5=10]
   a. Define written down value method of depreciation.
   b. What is weighted average cost method of inventory valuation?
   c. What is a Trial Balance?
   d. Why do we create suspense account?
   e. What are compensating errors? Give an example.
   f. What are the differences between manufacturing account and trading account?
   g. What are the components of financial statement as per Companies Act 2013? Which schedule of the Companies Act 2013 provides the format for financial statement of companies?
2. **Answer any 4 from the following:** [5×4=20]
   a. What is rectification of errors? Discuss the classification of errors in accounting.
   b. Mr. Deb runs a factory which produces soaps. Following details were available in respect of his manufacturing activities for the year ended on 31.3.2020:

Opening Work-in-Process (10,000 units)	16,000
Closing Work-in-Process (12,000 units)	20,000
Opening inventory of Raw Materials	1,70,000
Closing inventory of Raw Materials	1,90,000
Purchases	8,20,000
Hire charges of machine @ Rs. 0.60 per unit manufactured	
Hire charges of factory	2,20,000
Direct wages-Contracted @ Rs.0.80 per unit manufactured and @ Rs.0.40 per unit of closing W.I.P.	
Repairs and Maintenance	1,80,000
Units produced – 5,00,000 units	
Opening Work-in-Process (10,000 units)	
Opening finished Goods (20,000 units)	
Closing finished Goods (20,000 units)	
Closing Work-in-Process (12,000 units)	
Bad-debt	40,000

   Prepare a Manufacturing Account of Mr. Abhinas for the year ended 31.3.2020.

   c. Draw up the format of cash flow statement under the indirect method.
   d. Discuss the rules of debit and credit under both traditional and modern approaches with appropriate examples.
   e. What is computerised accounting? Discuss the features of computerised accounting. [1+4=5]

3. **Answer the following:** [10×3=30]

a. Define International Financial Reporting Standards. Discuss the objectives of IFRS. Why is there a need for convergence of IFRS in India? [2+4+4=10]

b. Mr. Abhishek Kumar gives you the following trial balance and some other information:

Trial Balance as on 31st March, 2020

Particulars	Dr. (Rs)	Cr. (Rs)
Capital		6,50,000
Sales		9,70,000
Purchases	4,30,000	
Opening Inventory	1,10,000	
Carriage Inward	40,000	
Salaries	2,10,000	
Other Administration Expenses	1,50,000	
Furniture	3,50,000	
Bills Receivables and Bills Payables	2,10,000	1,72,000
Bad Debts	5,000	
Investments in Government Securities	1,00,000	
Cash in Hand and Cash at Bank	1,87,000	
Total	**17,92,000**	**17,92,000**

Additional information:

(i) Closing Inventory was Rs. 1,80,000;

(ii) Depreciate Furniture @ 10% p.a.

Prepare Trading and Profit and Loss Account for the year ended on 31.3.2020 and Balance Sheet of Mr. Kumar as on that date.

c. Prepare a Bank Reconciliation Statement from the following particulars:

Bank balance as per pass book	10,000
Cheque deposited into bank but no entry was passed in cash book (+)	500
Cheque received but not sent to bank (+)	1200
Credit side of bank column cast short (−)	200
Insurance premium paid directly by bank under standing advice (+)	600
Bank charges entered twice in the cash book (−)	20
Cheque issued but not presented to the bank for payment (+)(+)	500
Cheque received entered twice in the cash book (−) (−)	1000
Bills dishonoured not recorded in the cash book (−) (−)	5000

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